

- **They put everything in writing.** Jim's parents wrote up an agreement that included the interest rate charged and the dates payments were due. It might sound formal, but this helped avoid confusion. You can download sample contracts and get advice from www.nolo.com.
 - **They made sure there weren't any negative tax consequences.** Bizarre as it may seem, the IRS sets a minimum interest rate—the **applicable federal rate (AFR)**—that family members and friends are required to charge on certain types of loans. Even if your parents, for example, want to lend you money without charging you interest, they may owe tax on the interest they would have received had they charged you the AFR. If you borrow less than \$13,000 to buy an item like a car or to pay off debts (as Jim did), you don't have to worry about these rules. But if you borrow the money to purchase assets like stocks and bonds or if you borrow more than \$13,000 for any purchase, your parents, friends, or relatives may be expected to charge you interest.
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↓ CREDIT REPORTS AND CREDIT SCORES

A credit report is a document that offers a snapshot of your financial history. It is created by companies known as credit agencies or credit bureaus. They gather information from an array of credit card companies, businesses, debt collectors, and merchants with whom you've done business. Then, when you apply for a loan or credit card, they supply the lender with a detailed record of your bill-paying habits. Creditors can buy reports from one or more agencies and evaluate your history. The bureaus also offer credit *scores*—numerical summaries of your credit report based on a complicated mathematical formula. These scores are supposed to predict how likely you are to keep up with your bills.